

to focus specifically on the findings that cover postretirement spending patterns.

For simplicity's sake, Basu divided a thirty-year retirement into three ten-year intervals. Rather than assuming a constant rate of inflation for expenses during retirement, he divided spending into four general categories: taxes, basic needs, health care, and leisure. Within these categories, he investigated the spending patterns by age and made allowances for differential inflation rates between these categories. For instance, he noted that retirees spend more on leisure in the early part of retirement and more on health in the later part of retirement.

Exhibit 5.21 details how the approach works in four spending categories and three time segments (sixty-five to seventy-four, seventy-five to eighty-four, and eighty-five to ninety-four). The numbers are not calibrated closely to data but are illustrative for a typical retiree.

Exhibit 5.21

An Age Banding Illustration

	Inflation	Lifestyle Adjustment	Lifestyle Adjustment	Lifestyle Adjustment
	Rate	Factor at Age 65	Factor at Age 75	Factor at Age 85
Taxes	3%	0.5	1	1
Basic Living	3%	0.7	0.8	0.9
Health Care	7%	1.15	1.2	1.25
Leisure	7%	1.5	0.5	0.25

Source: Adapted from the Stylized Example in Somnath Basu's "Age Banding: A Model for Planning Retirement Needs."

Taxes: The inflation rate for taxes is 3 percent. At age sixty-five, the lifestyle adjustment factor for taxes is an assumed drop to 50 percent of their preretirement level, as payroll taxes are no longer paid and taxable income may be less. The lifestyle adjustment factors are iterative—a value of one at age seventy-five means tax amounts will not change relative to real values at age sixty-five; they only grow with inflation. The same is the case for taxes